Top Business Objectives

What are the customer's top business objectives?Hershey's overarching objective is to transform from a traditional chocolate manufacturer into a "Leading Snacking Powerhouse" 1. Their core goals are to: 1) Drive core confection growth while broadening participation in salty and functional/protein snacking 1. 2) Deliver operational efficiency and significant margin recovery to offset commodity inflation 2, 3. 3) Expand competitive advantage through differentiated digital capabilities, moving from broad reach to personalized consumer "resonance" using data and AI 4-6.

How are these objectives supported by the customer's initiatives?These goals are driven by major organizational and operational initiatives:

- **"ONE Hershey" Commercial Model:** Unifying the sweet, salty, and protein divisions into a single integrated go-to-market structure to strengthen retail partnerships and cross-category promotions 7, 8.
- **Advancing Agility & Automation (AAA) Initiative:** A multi-year productivity program aimed at optimizing supply chain, manufacturing, and SG&A expenses to generate long-term savings 9.
- **Digital Lean & Connected Worker:** Modernizing factory floors by equipping workers with mobile devices, AI-generated guidance, and real-time data to drive zero loss and continuous improvement 10-12.

How are these initiatives supported by IT, and how are they funded?IT serves as the "digital backbone" for these initiatives. Hershey recently completed a massive SAP S/4HANA migration, unifying 95% of their global business onto a single instance to establish a "clean core" 13, 14. They leverage a hybrid multi-cloud architecture (AWS, Azure, GCP) to support advanced data fabrics and operate "Agentic AI" systems, such as their real-time AI marketing mix model and the "Agnes" autonomous IVR system 14, 15. Funding stems from a disciplined enterprise capital allocation strategy; with the heavy capex of the ERP migration concluding, IT spending is pivoting toward the AAA Initiative, which carries an estimated budget of $200M to $250M 16, 17.

What is the funding for the initiatives, and what is the decision-making process?The decision-making process is top-down, spearheaded by the Board of Directors and the C-suite (including new CEO Kirk Tanner, CFO Steve Voskuil, and CTO Deepak Bhatia) 17-19. Hershey employs a "virtuous cycle" funding model where productivity gains directly finance capability reinvestments 7. For example, the AAA Initiative was approved by the Board in early 2024 to generate $300M in ongoing annual savings by 2026, which will in turn fund further brand and technology investments 17, 20.

What is the customer's personnel situation, and how are they ensuring they have the necessary resources?Hershey is navigating significant leadership transitions, including a new CEO, a new CHRO, and the unexpected departure of their U.S. President in early 2026 18, 21, 22. From an IT perspective, Hershey utilizes Accenture as its Managed Service Provider (MSP), though they have faced some friction during the onboarding process 23. To ensure internal teams can support modern IT initiatives, Hershey is heavily focused on upskilling its Engineering and Architecture teams (led by Jeff Ramsey) to shift from proprietary mindsets to open-source and AI-ready platform engineering 23, 24.

Top Business Challenges

What are the top challenges the customer faces over the next three years?

1. **Commodity Price Volatility:** Historic inflation in cocoa (up over 70% from 2023 levels) and sugar markets 25, 26.
2. **Regulatory Compliance (EUDR):** The impending December 2026 EU Deforestation Regulation deadline requires granular farm-to-plot GPS traceability for all cocoa entering Europe 27, 28.
3. **Shifting Consumer Behaviors & Competition:** The rise of GLP-1 weight-loss medications altering snacking habits, coupled with intense competition from the recent Mars-Kellanova snacking mega-merger 29-31.

What are the potential impacts if these challenges remain unresolved?If unmitigated, commodity costs will continue to severely compress gross margins 32. Aggressive pricing to offset these costs has already caused volume elasticity (consumers buying less) 33. Failure to achieve EUDR traceability could lock Hershey out of European markets, while inability to adapt to health trends or combat the Mars-Kellanova consolidation could result in permanent losses of retail shelf space and market share 28, 31, 34.

How are these challenges being addressed by IT initiatives, and how are those initiatives funded?IT is addressing commodity and supply chain risks by deploying AI-driven decision intelligence software (like Kinaxis) to optimize inventory levels, aiming for a $100M inventory reduction and a $50M productivity increase 35. For EUDR compliance, IT is integrating polygon mapping and blockchain-backed data integrity into their sourcing systems 27. To combat consumer shifts and competition, IT is rolling out a proprietary, real-time AI marketing engine to maximize ROI on advertising spend dynamically 15. These efforts are funded primarily through the $200M-$250M AAA Initiative budget and the reallocation of IT funds post-ERP migration 16, 17.

Bridging Challenges to Red Hat Opportunities (Initiatives Introduction) Hershey's pressing need to modernize 176 disparate applications, scale Agentic AI across a multi-cloud footprint (AWS, Azure, GCP), and drive automation to meet their $300M savings target presents a prime opportunity for Red Hat. By positioning **Red Hat OpenShift** as the premier container orchestration platform for their AI models and MuleSoft integration, **Ansible Automation Platform (AAP)** (including Event-Driven Ansible) for infrastructure-as-code and automated ServiceNow remediations, and **RHEL** for their mission-critical SAP S/4HANA core, we can directly enable the agility and "clean core" resiliency required for Hershey's Next Generation Snacking strategy 36-40.